

How to Read an LBO Model (And How to Spot a Paper Mirage)

For an LBO model it is all about finding a balance between debt capacity and reality. When the sources & uses balance and the balance sheet no longer generate errors, the work is only half done.

The key to an LBO is examining the Returns Analysis and instinctively knowing whether the Internal Rate of Return (IRR) comes from the actually cash flow or from aggressive and highly speculative financial engineering. An integrated LBO model, also known as a stress test, is a business model analyzing a company's ability to carry its own capital structure.

Today, I will show you the essential elements of an LBO, what to watch for, and how to know when an assumption is in the “danger zone”.

1. The Deal Mechanics: Sources & Uses

The first thing you should look at is the capitalization structure. How is the deal actually being funded?

- **High Debt / Low Equity:** If the sponsor equity check is dipping below 30% and debt is covering 70%+ of the purchase price, the deal is priced for absolute perfection. There is no margin for error if there is an operational hiccup.
- **The Fees:** Check the transaction and financing fees. If fees are being capitalized into the debt rather than paid out of pocket, the debt burden on day one is already heavier than the purchase price suggests.

2. The Cash Flow Sweep: Debt Schedule & Cash Flow

An LBO lives and dies by debt paydown. Go to the Debt Schedule and trace the Free Cash Flow.

- **The Interest Trap:** If the company is generating positive Operating Cash Flow but almost all of it is being eaten by mandatory debt amortization and interest expenses, the equity value is not growing. The company is just running on a treadmill to pay the bank.
- **The Revolver Check:** If you see the company repeatedly drawing from the Revolving Credit Facility (Revolver) in the early projection years just to cover mandatory debt service or CapEx, the capital structure is too aggressive. The company is starved for liquidity.

3. The Exit Illusion: Returns Analysis

Look at the Returns Analysis tab to see how the sponsor is actually making their money. Value creation in an LBO comes from three places: EBITDA growth, debt paydown, and multiple expansion.

- **The Multiple Expansion Trap:** If the model assumes an exit multiple (e.g., 12x) that is higher than the entry multiple (e.g., 10x) just to hit a 20% IRR, the return is highly speculative. A conservative, rock-solid model assumes the exit multiple will be equal to or lower than the entry multiple.
- **MOIC vs. IRR:** Check the Multiple on Invested Capital (MOIC). If the IRR looks fantastic (e.g., 35%) but the MOIC is low (e.g., 1.5x), it usually means the sponsor is flipping the company too quickly (within 1-2 years). This is a timing trick, not genuine value creation.

4. The Operational Reality: Assumptions & Income Statement

In a buyout, it is standard to model cost-cutting and efficiency improvements. However, these must obey economic gravity.

- **The Margin Miracle:** If the Assumptions tab projects massive top-line revenue growth while simultaneously slashing Capital Expenditures (CapEx) and operating expenses, the model is theoretically broken. You cannot permanently starve a company of investment and expect it to conquer the market.

Summary Checklist for Reading the LBO Model:

1. **Check the Skin in the Game:** Is the sponsor putting up enough equity (30%+) to weather a potential storm?
2. **Verify the Cash Sweep:** Is the company actually sweeping excess cash to pay down the principal, or just treading water paying interest?
3. **Check the Liquidity:** Is the Revolver being drawn to fund basic operations?
4. **Audit the Exit:** Is the IRR reliant on multiple expansion, or is it driven by genuine debt paydown and operational growth?